CHARTERED ACCOUNTANTS ACADEMY

AUDITING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 5 – QUALITY CONTROL AND AUDIT DOCUMENTATION

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1. Introduction

A firm has to establish and maintain systems of quality control to provide it with reasonable assurance that:

- The firm and its personnel fulfill their responsibilities in accordance with professional standards and applicable legal and regulatory requirements, and conduct engagements in accordance with such standards and requirements; and
- Engagement reports issued by the firm or engagement partners are appropriate in the circumstances.

2. Objectives of a system of quality management and audit documentation

- Being aware of the legislation, requirements and need for policies and procedures to assure audit quality control.
- Explaining, discussing and applying the elements of the system of quality management relevant to the firm as well as the individual audit engagements.
- Being aware of legislation, ethical requirements; acceptance and continuance of relationships and engagements; engagement performance; monitoring; governance and leadership; resources; information and communication; monitoring and remediation process and documentation.
- Understanding Practice reviews by the PAAB, peer reviews by partners and other firms
- Understanding the concept of continuing professional development.
- Understand the documentation requirements when performing an ISA based audit.

3. Scope

- ISA 220: Quality control for an audit of financial statements.
- ISA 230: Audit Documentation.
- ISQM 1 (Previously ISQC 1): Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements.
- ISQM 2: Engagement Quality Reviews.
- Framework: CPC.

4. Study material

- CAA Applied Auditing and Governance Module.
- International Standards on Auditing.
- International Standard on Quality Management.

5. Competence Framework expectation

- Understands the importance of a system of quality management in the performance of engagements
- Designs, implements and manages an effective system of quality management in the professional accounting firm that addresses the following areas:

➢ The firm's risk assessment process;
➢ Governance and leadership;
➢ Relevant ethical requirements;
➢ Acceptance and continuance of client relationships and specific engagements;
➢ Engagement performance;
➢ Resources;
➢ Information and communication; and
➢ The monitoring and remediation process:

- Responds to findings of inspections undertaken by the PAAB and the findings of internal reviews
- Ensures that the system of quality management is effective in managing the legal liability of the firm to clients and third parties

6. Examination possibilities

- Concerns with regards to a system of quality management of a particular entity.

7. Assumed Knowledge

The following is assumed knowledge which you should already have at CTA level.

- The audit process;
- The code of professional conduct;
- The needs for providing a quality audit (stemming from your knowledge of ISQC 1).

8. Integration

This topic can be integrated with pre-engagement activities. It is a highly examinable topic.

9. Course notes

9.1. ISQM 1 – Quality control management at firm level

The objective of ISQM1 is to ensure that a firm establishes and maintain a system of quality management to provide it with reasonable assurance that (ISQM 1 para 14):

a) The firm and its personnel fulfill their responsibilities in accordance with professional standards and applicable legal and regulatory requirements, and conduct engagements in accordance with such standards and requirements; and
b) Engagement reports issued by the firm or engagement partners are appropriate in the circumstances.

9.2. To whom does ISQM 1 Apply?

This ISQM applies to **all firms** performing audits or reviews of financial statements, or other assurance or related services engagements (i.e., if the firm performs any of these engagements, this ISQM applies and the system of quality management that is established in accordance with the requirements of this ISQM enables the consistent performance by the firm of all such engagements) (ISQM 1 para 5).

9.3. Elements of a System of Quality Management (SQM)



Element	Description
The Firm's Risk Assessment Process (ISQM para. 23 – 27)	The firm shall design and implement a risk assessment process to establish: ▪ quality objectives; ▪ identify and assess quality risks from; o complaints and allegations o results of external inspections o information from regulators e.g. securities regulators, PAAB etc. o changes in the system of quality management e.g. changes in firm's resources (like mass resignation caused by online audits enabling working for foreign firms) o external sources, such as regulatory actions and litigation against the firm or other firms in the jurisdiction that may highlight areas for the firm to consider etc. ▪ design and implement responses to address the quality risks.
Governance and Leadership (ISQM 1 para. 28)	The firm shall establish quality objectives that address the firm's governance and leadership, which establishes the environment that supports the system of quality management: a) The firm demonstrates a commitment to quality through a culture that exists throughout the firm, which recognizes and reinforces: i. The firm's role in serving the public interest by consistently performing quality engagements. ii. The importance of professional ethics, values and attitudes iii. The responsibility of all personnel for quality relating to the performance of engagements or activities within the system of quality management, and their expected behavior; and iv. The importance of quality in the firm's strategic decisions and actions, including the firm's financial and operational priorities b) Leadership is responsible and accountable for quality. c) Leadership demonstrates a commitment to quality through their actions and behaviors. d) The organizational structure and assignment of roles, responsibilities and authority is appropriate to enable the design, implementation and operation of the firm's system of quality

	management. e) Resource needs, including financial resources, are planned for and resources are obtained, allocated or assigned in a manner that is consistent with the firm's commitment to quality.
Relevant Ethical Requirements (ISQM 1 para. 29)	▪ Compliance with CPC – 5 fundamental principles ▪ Policies & procedures to: o Communicate requirements o Process for reporting of threats o Process for resolution of threats o Listed entity partner rotation (7 years) ▪ Written confirmation of compliance with independence requirements
Acceptance and continuance of client relationships & specific engagement (ISQM 1 para. 30)	The firm shall establish the following quality objectives that address the acceptance and continuance of client relationships and specific engagements: a) Judgments by the firm about whether to accept or continue a client relationship or specific engagement are appropriate based on: i. Para. A67 – A71 Information obtained about the nature and circumstances of the engagement and the integrity and ethical values of the client (including management, and, when appropriate, those charged with governance) that is sufficient to support such judgments; and ii. The firm's ability to perform the engagement in accordance with professional standards and applicable legal and regulatory requirements. (ISQM 1 para. A72) b) The financial and operational priorities of the firm do not lead to inappropriate judgments about whether to accept or continue a client relationship or specific engagement. (ISQM 1 para. A73 – A74). Examples are but not exhaustive: 1) The firm can decline audit engagement of a client that lacks integrity and ethical values despite that the firm is satisfied by the audit fees charged. 2) Quoting audit fee that is not sufficient given the nature and circumstances of the engagement, and it may diminish the firm's ability to perform the engagement in accordance with professional standards and applicable legal and regulatory requirements
Engagement performance (ISQM 1	The firm shall establish the following quality objectives that address the performance of quality engagements:

para. 31).	a) Engagement teams understand and fulfill their responsibilities including engagement partners for managing and achieving quality on the engagement and getting appropriately involved throughout the engagement. b) The nature, timing and extent of direction and supervision of engagement teams and review of the work performed is appropriate (i.e. the work performed by less experienced engagement team members is directed, supervised and reviewed by more experienced engagement team members. c) Exercise appropriate professional judgment and, professional skepticism. d) Consultation on difficult or contentious matters is undertaken and the conclusions agreed are implemented. e) Differences of opinion between the engagement team, and or between the engagement quality reviewer brought to the attention of the firm and resolved. f) Engagement documentation is assembled on a timely basis after the date of the engagement report, and is appropriately maintained and retained to meet the needs of the firm and comply with law, regulation, relevant ethical requirements, or professional standards.
Resources (ISQM 1 para.32)	The firm shall establish the following quality objectives that address appropriately obtaining, developing, using, maintaining, allocating and assigning resources in a timely manner to enable the design, implementation and operation of the system of quality management focusing on: ▪ Human Resources o Hiring, developing and retaining of competent personnel o Appropriate compensation, promotion and other incentives. o Assigning of engagement team members should be based on appropriate competencies and capabilities etc. ▪ Technological Resources ▪ Intellectual Resources ▪ Service Providers
Information and Communication (ISQM 1 para. 33)	▪ The information system identifies, captures, processes and maintains relevant and reliable information that supports the system of quality management, whether from internal or external sources.

	▪ The culture of the firm recognizes and reinforces the responsibility of personnel to exchange information with the firm and with one another ▪ Relevant and reliable information is exchanged throughout the firm and with engagement teams and external parties.
Monitoring and Remediation Process (ISQM 1 para. 35 – 47)	The firm shall establish a monitoring and remediation process to: a) Provide relevant, reliable and timely information about the design, implementation and operation of the system of quality management. b) Take appropriate actions to respond to identified deficiencies such that deficiencies are remediated on a timely basis. The firm must: ▪ Designing and Performing Monitoring Activities – to identify quality deficiencies; ▪ Evaluating Findings and Identifying Deficiencies; and ▪ Responding to Identified Deficiencies.

Focus Point

Quality control is commonly examinable in the following areas:

a) Client acceptance – as part of your considerations think ISQM1

b) Students required discussing concerns with regards to the conduct of a firm – needing to identify some of these in terms of ISQM 1.

c) Provide examples of quality control procedures that can be implemented by a firm.

9.4. ISQM 2 – Engagement Quality Reviews

9.4.1. Introduction

This International Standard on Quality Management (ISQM) deals with:

a) The appointment and eligibility of the engagement quality reviewer; and

b) The engagement quality reviewer's responsibilities relating to the performance and documentation of an engagement quality review.

9.4.2. Objective

The objective of the firm, through appointing an eligible engagement quality reviewer, is to perform an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon.

9.4.3. To whom does it apply?

ISQM 2 applies to all engagements for which an engagement quality review is required to be performed in accordance with ISQM 1 in conjunction with relevant ethical requirements.

9.4.4. Appointment and Eligibility of Engagement Quality Reviewers (ISQM 2 para. 17 – 21)

The firm shall establish policies or procedures that set forth the criteria for eligibility to be appointed as an engagement quality reviewer. Those policies or procedures shall require that the engagement quality reviewer not be a member of the engagement team, and:

a) Has the competence and capabilities, including sufficient time, and the appropriate authority to perform the engagement quality review.
b) Complies with relevant ethical requirements, including in relation to threats to objectivity and independence of the engagement quality reviewer; and
c) Complies with provisions of law and regulation, if any, that are relevant to the eligibility of the engagement quality reviewer.

9.4.5. Impairment of the Engagement Quality Reviewer's Eligibility to Perform the Engagement Quality Review (ISQM 2 para. 22 – 23)

When the engagement quality reviewer becomes aware of circumstances that impair the engagement quality reviewer's eligibility, the engagement quality reviewer shall notify the appropriate individual(s) in the firm, and:

a) If the engagement quality review has not commenced, decline the appointment to perform the engagement quality review; or
b) If the engagement quality review has commenced, discontinue the performance of the engagement quality review.

10. ISA 220: Quality Control for an audit of financial statements

The engagement partner shall take responsibility for the overall quality on each audit engagement to which that partner is assigned.

Requirement	
Ethical requirements	The engagement partner is responsible for ensuring that the engagement team complies with all ethical requirements.
Independence	Engagement partner shall ensure that the engagement team and firm comply with independence requirements. For example the partner may require the engagement team to sign independence declaration forms.
Client acceptance	The engagement shall ensure that the requirements in ISQM 1 are complied with when accepting a new client.

Assignment of audit teams	The audit team shall comprise members who have the appropriate competences and capabilities: For example, need for an expert for highly technical areas.
Engagement Performance	The partner is responsible for: ▪ Direction and supervision of the audit engagement ▪ Review of work done ▪ Making sure the engagement team makes appropriate consultations. ▪ Where required should ensure that an engagement quality reviewer has been appointed. ▪

Focus Point

When you are reviewing how the work was performed for a specific engagement, from a quality control perspective think of ISA 220. E.g. have all the working papers been reviewed.

11. ISA 230: AUDIT DOCUMENTATION

11.1. Purpose of audit documentation

Audit documentation serves a number of purposes, which include the following: (par 3)

- Assisting the engagement team to plan and perform the audit;
- Assisting members of the engagement team responsible for supervision to direct and supervise the audit work, and to discharge their review responsibilities in accordance with ISA 220;
- Enabling the engagement team to be accountable for its work;
- Retaining a record of matters of continuing significance to future audits;
- Enabling the conducting of quality control reviews and inspections in accordance with ISQM 1 or PAAB requirements.

Key Definitions – par 6

1. Audit documentation – the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached. The record and audit evidence obtained in normally documented in audit **working papers**.

2. Audit file – One or more folders or other storage media, in physical or electronic form containing the records that comprise the audit documentation for a specific engagement.

Key features expected of audit documentation

- The identifying characteristics of the specific items or matters tested e.g. documenting the purchase order number and date for detailed testing done on purchase orders.
- Who performed the audit work and the date such work was completed ; and
- Who reviewed the audit work performed and the date and extend of such review

See below for an example of an audit working paper:

Client: XYZ Limited	Year End : 31 December 2021	**K 101**
Prepared by: Nailah Kunashe	Date: 15 January 2022	
Reviewed by: C Patterson	Date: 28 January 2022	
Audit Section	PPE Additions	

Objective : To obtain reasonable assurance on whether additions to PPE were **accurately** measured and **exist** as at year end:

Methodology:
General procedures:

1. Obtain from management a schedule of additions made to PPE during the current year under audit;
2. Cast and cross cast the schedule to test mathematical accuracy;
3. Agree the total balance of additions as per the schedule to the balance as per the PPE note in the financial statements and the balance as per the trial balance;

Specific Procedures:

4. Obtain and agree the amount as per the purchase invoice to the amount recorded on the schedule received from management;
5. Agree other costs incurred in acquiring the PPE items to relevant supporting documentation; and
6. Physically inspect the additions to confirm their existence;

Results from work performed:
General procedures:

Procedure	**Results**
1	**√**
2	**√**
3	**√**

Specific Procedures

Asset number	Description	Date of Acquisition	Amount (US$)	4	5	6
B2345	Kipor Diesel Generator	01.05.15	25,000	**√**	**√**	**√**
B2346	HP Laptop computer	03.07.15	2,000	**√**	N/A	**√**
B2347	Sony Surveillance Camera	08.09.15	1,500	**√**	**√**	**√**
C1178	Milano office chair	09.10.15	400	**√**	N/A	**√**
C1179	Milano office desk	09.10.15	600	**√**	N/A	**√**

Key:
√ : Test satisfactory
X : Test not satisfactory
N/A: Test not applicable

Conclusion:
Based on the audit evidence gathered we have obtained reasonable assurance that additions were accurately recorded and existed as at year end.

Question on quality control

Stenson and Partners

You have recently been appointed as an audit manager at the firm Stenson and Partners Chartered Accountants, a medium-sized firm based in Milton Park, Harare. The firm services assurance, as well as non-assurance clients, within a wide variety of diverse industries. Having recently completed your three-year period of traineeship at the firm, you are extremely excited about your new position within management.

Included in the information to follow are:

(i) A summary of the discussion points of annual audit manager and partner meeting at Stenson and Partners Chartered Accountants.

At your first audit manager/partner meeting, held at your firm on Monday 4th February 2022, the Senior Assurance Partner and firm founder, Barney Stenson, made the following comments:

> *"Good morning, all – welcome to all of those new managers who are joining our ranks. We hope you find that your job is all you hoped for. If your dream is to attain partnership you are going to have to put in a lot of hard work, as we don't provide too many opportunities for partnership at the firm - you really have to be the best of the best!*
>
> *The prior financial period has been an extremely difficult one for us – we are under fee pressure as a result of the general state of the economy and the recent changes in legislation have made keeping our smaller clients even more challenging.*
>
> *We are therefore in desperate need of additional audit clients - at this stage it looks like all partners are going to have to take a large reduction in their bonuses for the most recent year.*
>
> *The firm's partners have discussed various factors to address this which we'd like to communicate to all other management staff:*
>
> - *We have recently received a lot of interest from international firms in regard to providing excess staff to work on short term secondments overseas. We have therefore decided that we will send all senior audit clerks on secondments, as this will greatly improve the firm's profitability since we will be able to obtain a much better recovery rate per hour of work.*
>
> *Although these international offices are not affiliated to us – we cannot pass up such an opportunity. They have said they want only senior (3rd year) clerks, but we will even be sending some second-year trainees who we feel are good enough. It is just such a great opportunity for our firm to obtain some quick and risk-free cash flow.*

- *To fill the gap that will arise within our firm we will need to get more young trainees to work for us. Please ask your friends or family if they know of anyone who is able to take up positions - they don't need to be qualified or even accounting students - we just need some cheap labour to do the 'dirty work'.*

- *You will need to pack your audit teams full of junior staff as all the senior staff will be away on these secondments. Don't tell your clients that the team is comprised of new staff - charge them out to the client at the rates of the staff they are replacing, so that we can generate the same revenue but pay out less in salaries!*
- *Each manager here is expected to obtain at least one new audit client. I have already prepared an engagement letter template on our firm's letterhead with my signature, in order to avoid any delays, since I and the other partners will be away on a partners' strategy retreat for the next three weeks. Once you have secured a new client, please just get them to sign this letter and you can then scan the letter to me.*

  Unfortunately, should you not be able to secure a new audit client within the next two months, consider yourself no longer having a job at this firm!"

Luckily your uncle is the CEO of BridgeFire (BF) ZW Ltd, a company listed on the Zimbabwe Stock Exchange and partly held by a Japanese Holding Company. After hearing that you would lose your job if you could not secure an audit client, he immediately fired the existing auditors and signed the engagement letter template that you provided to him.

To thank you for obtaining this additional client, you received the following email from Barney Stenson, praising you for your accomplishment:

From: Barney Stenson
Sent: Monday, February 18, 2013 11:58 PM
To: Jack Donaghy
Subject: Great job!

Wow, great job on getting us BF (ZW) Ltd…excellent that it's listed! It's really fantastic for our firm as we have never had a listed client before. I'm pretty sure we can do a decent job for them. How hard can it be? Their financial reporting process must be pretty clean considering they are listed. We can charge them substantial fees considering they can well afford them.

Since you secured the client I am making you the audit manager. To be honest, with everything else that I have going on, you will be taking over all of my partner responsibilities - except of course for the signing of the audit opinion (you can just draft it when you are done with the audit and send to me for signature).

Good job once again - go have an evening out with your fiancé to celebrate. Charge the cost to any existing client code as out of pocket expenses.

Barney Stenson (CA) Z
Senior Audit Partner
Stenson and Partners Chartered Accountants. – Here to help you

Required

(A) Discuss any concerns that are evident with regard to the information provided from the discussion at the audit manager/partner meeting and the email sent by Barney Stenson with reference to ISA 220, ISQM 1 and any other relevant ISAs. **(25)**
Wits CTA 2013 MY Exams Adapted

Solution

ISQM 1

a)	Discuss any concerns that are evident with regard to the information provided from the discussion at the audit manager/partner meeting and the email sent by Barney Stenson with reference to ISA 220, ISQM 1 and any other relevant ISAs. **(25)** ***Communication and Presentation***	
	Governance and Leadership	
	Partnership opportunities are limited in the firm There may not be sufficient partners within the firm to evenly distribute the workload. If there are insufficient partners, it is likely the quality of the work of each partner is likely to be compromised and not in accordance with ISQM1 due to work pressure. **(1)** The firm's leadership and the example it set will significantly influence the internal culture of the firm (ISQM1) – it is clear from the scenario that there is a lack of ethical leadership from the partners (as evidenced by threatening to dismiss the audit managers if they fail to secure a new client) which is likely to permeate through the remaining staff. **(1)** The partners' attitude appears to be one of obtaining the most business possible rather than that which is advocated by ISQM 1 of achieving quality in all engagements that are performed. He is not leading and setting the tone at the top. (ISQM A58) **(1)**	**3**
	Barney Stenson's comment of 'We can charge them substantial fees considering they can well afford them' This indicates that Barney intends to charge the client for work that is not necessarily performed, simply because they are a large, listed company and can afford the fees, this is also a clear breach of the fundamental principles of the CPC such as integrity and professional behavior that the leader of a firm should have.	**1**

	Barney insists on hiring unqualified trainees to replace the 3rd years they are sending on secondment This shows his poor resource planning for the firm as it is his ultimate responsibility as a leader. Poor planning with unqualified personnel will lead to poor quality audits ISQM A61.	**1**
	Relevant Ethical Requirements	
	• The integrity of partners of the firm is questionable. Since they are agreeing to send even 2nd year trainees while letting the international firms believe they are 3rd year trainees. This a creates a self-interest threat to the principle of Integrity and professional behavior. **(1)** ○ It is also unlikely to promote cooperation between members of the profession. **(1)** • Due to the cash flow pressure being experienced by the firm, the opportunity to obtain a listed client has led to the non-consideration of the several fundamental principles such as Professional competence and due care. In accepting this new client, the firm have clearly overlooked the blatant familiarity threat to objectivity of you being the nephew of the CEO of BF Ltd. **(1)** • Barney Stenson demonstrates a complete lack of professional competence has he has not considered the familiarity threat to objectivity as he in fact has appointed you as the audit manager. **(1)** • Should the client have been accepted, he should have ensured that you were not involved in the audit as a safeguard. **(1)** • The partners have explicitly asked managers to pack their teams full of underqualified staff – but lead the client to believe that they are more experienced staff members who are charged out at higher rates per hour which is a self-interest threat to their integrity as a firm and will impair audit quality. **(1)**	

	• This is an example of a lack of integrity and professional behavior as the partners are promoting theft from their clients. **(1)** • To congratulate you for obtaining a new client Barney has invited you to take your fiancé out for the evening and charge the costs to another client code as out of pocket expenses this is a significant gift which poses a self-interest threat to objectivity, I may overlook some misstatements to return the favour for the dinner gesture. **(1)** It is in no way an audit related cost and charging to the other client is dishonest and is a self-interest threat to Integrity and professional behavior. **(1)** • The email signature of Barney Stenson indicates a firm slogan "Here to help you". It is unlikely that the use of this slogan follows fundamental principle of Professional Behavior as set in the code as it is not allowed to make exaggerated claims for the services offered by the firm – CPC para R115a. **(1)**	**10**
	Engagement acceptance and Continuance	
	• A key consideration of accepting a new client is whether the firm has the competence, skill, and time to complete the engagement. (ISQM A72) ○ The new engagement is a listed company and based on the available resources, and skills thereof (with many overseas the bulk of the audit team is likely to have junior staff) it is unlikely that the firm can perform the engagement satisfactorily. **(1)** • The firm should have considered whether it has the requisite experience and not having a single other ZSE listed company might indicate that no such consideration was made as a part of accepting the client. **(1)** • No independence declaration was considered, or no	

	contemplation of any other safeguards such as not allowing you to be the audit manager was considered as a part of client acceptance. **(1)** • There is a clear lack of pre-acceptance procedures being performed. Barney Stenson has the obligation to determine whether the client should be accepted or not. He has inappropriately delegated this responsibility to you by telling you to use an engagement letter template which he has already signed. **(1)** • As part of client acceptance considerations, management integrity should have been considered – there is a definite lack of management integrity due to the way in which the prior auditors were dismissed, without the correct procedures followed. **(1)** • This engagement letter is unlikely to set out any specific considerations such as the basis for the charging of audit fees, as it is a standard template. It should be tailored to the specific audit. **(1)** • No consideration was given over the validity of our appointment as auditor ○ The previous auditors were simply be dismissed, indicating that it is highly likely that no statutory vacancy ever existed. **(1)** • As part of client acceptance considerations our audit firm should have contacted the prior auditors to enquire regarding client acceptance. Barney Stenson's comment of 'Their financial reporting process must be pretty clean considering they are listed' is indicative that no client acceptance procedures were performed prior to acceptance of the client. This absurd statement is also indicative of a lack of professional competence on the part of Barney Stenson, the audit partner. **(1)**	**8**

	Firm's risk assessment process	
	Barney stated that BF must be pretty clean considering that they are listed. • Barney stated that BF is listed thus they must be pretty clean this shows that the firm did not obtain an understanding of the conditions, events, circumstances, actions or inactions that may affect the achievement of the quality objectives such as the complexity and operating characteristics of the firm especially given that it is their first listed client. **(1)** • It also shows that they did not obtain an understanding of characteristics and management style of leadership which is likely to be questionable as evidenced by how they abruptly dismissed predecessor auditors without following appropriate procedures. **(1)**	**2**
	Resources	
	Sending senior staff on secondment • The firm is willing to send many key staff members, to alleviate their cash flow difficulties i.e., to continue paying their large partner bonuses which will compromise quality as it leaves less experienced personnel on the job. **(1)** **Barney Stenson making the statement "Please ask your friends or family if they know of anyone who is able to take up positions - they don't need to be qualified or even accounting students - we just need some cheap labor to do the 'dirty work'.** • It is indicative that there are no policies and procedures in place to provide the firm with reasonable assurance that it has sufficient personnel with the competence, capabilities and commitment to ethical principles as required by ISQM A90. **(1)**	

	If each manager does not obtain at least 1 new client, they will be fired. • This once again reveals that there are no policies and procedures in place to ensure that qualified audit managers remain with the firm. **(1)** • It has not been considered that should these managers obtain these new audit clients, based on contacts with friends, family etc. there will be possible familiarity and self-interest threats to their objectivity and professional behavior that will need to be considered in client acceptance and audit team staffing. **(1)** • Given the new client conditions and nature of the client no mention has been made of the training and development that the audit team will have to undergo to improve the audit quality. **(1)**	**5**
	Engagement performance	
	Hiring unqualified staff • By willing to use staff members who have no knowledge of accounting and auditing, it is unlikely that the engagement will be performed in accordance with professional standards as required by ISQM 1 as they will likely make errors and mistakes. **(1)** • The partners have not acted professionally when asking teams to assign staff to simply do the 'dirty work'. Even the most junior staff are required to apply professional judgment and professional skepticism. Something which can only be done with the required knowledge and qualifications which will be lacking. ISQM A78 **(1)**	**2**
	Signature of Barney Stenson in his email, • It appears that he is not a Registered Auditor affiliated with PAAB and if that is the case is not supposed to sign of an engagement of a listed client. **(1)** • All of Barney's responsibilities have been delegated to you as the manager. This is inappropriate as the partner is required to have	

	certain involvement throughout the audit process and cannot merely sign the audit report without adequate involvement. **(1)**	**2**
	Monitoring and Remediation	
	All the audit partners are on a 3 week "retreat" • This is evidence of the lack of monitoring which will occur and is required to take place regularly by ISQM 1 A138. **(1)** • It is also evident that there are no on-going procedures or policies in place to ensure that the firm and its employees are acting in accordance with monitoring requirements. **(1)** • The partners will also be unable to provide the necessary direction, supervision and review required on their specific audits e.g., Barney Stenson will not be available in this regard. **(1)** • Barney Stenson will also be unable to provide the necessary consulting required on the audit. As well as the necessary supervision of his audit team – he has merely assigned all these responsibilities e.g. I am going to handle client acceptance. **(1)**	**4**
	Communication	**1**
	Any other valid point	**1**
	Total available	**39**
	Maximum	**25**